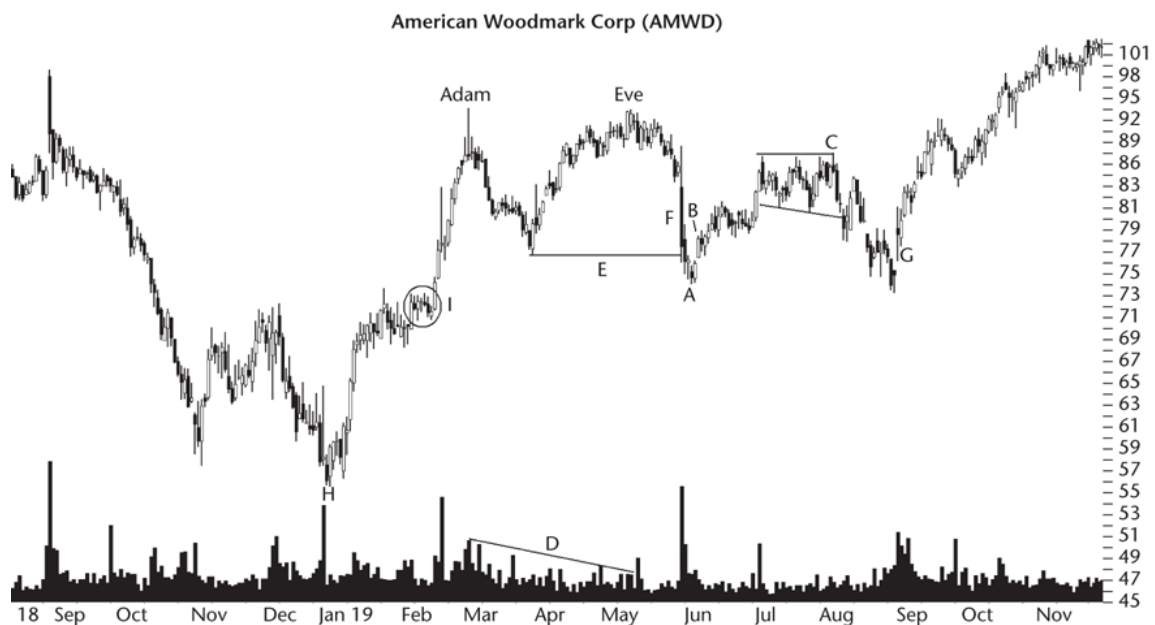


Focus on Failures

[Figure 31.5](#) shows a typical failure of an Adam & Eve double top. Let's run through the identification guidelines to see if we have correctly identified the chart pattern:

Price trend: Price rises from the December low (H) to the Adam top. Check.



[Figure 31.5](#) Price after the breakout from this Adam & Eve pattern fails to drop far.

Valley between tops: Price drops after Adam and turns up to reach the Eve peak. The dip from Adam (the higher of the two peaks) to confirmation at E is 20%, which is plenty deep.

Top high price: The price difference between the two peaks is minor: 0.2%. The stock *looks* like it's peaking near the same price.

Top separation: The distance between the two peaks is 70 days, which is fine.

Volume: Linear regression says volume is receding from peak to peak, that is, it's higher on the left than on the right. I drew line D to show this.